

Money Laundering and Financial Crime

Test Review & Answer Explanations

Compliance Training Department

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Why Is It So Hard to Fight Financial Crime Globally?

The Problem: Different Countries, Different Rules

- ▶ Imagine playing a sport where **every country has different rules**
- ▶ One country says an action is **legal**, another says it is **criminal**
- ▶ Criminals **exploit these gaps** they shift activities to the weakest link

What I Got Wrong:

- ▶ I thought *digital networks* were the problem
- ▶ But digital networks are **not** obsolete they are **getting better**
- ▶ AI, machine learning, and blockchain analytics **help** detect crime

What I Should Have Focused On:

- ▶ The real challenge is **legal divergence**
- ▶ Countries **criminalize different behaviors**
- ▶ Example: "Bribery" in one country may be "normal hospitality" in another
- ▶ This creates **gaps** that are hard to close

Core Lesson: The problem is not technology it is *human* systems. Legal fragmentation is the real enemy.

Cultural Hospitality When "Being Nice" Creates Risk

The Scenario

A consultant reviews a company's anti-bribery policy and notices something missing:

"Lavish hospitality extended to visiting foreign officials is not clearly addressed."

Why This Is a Problem:

- ▶ In some cultures, **expensive gifts** and **lavish entertainment** are expected
- ▶ But **where is the line?** When does hospitality become bribery?
- ▶ Without clear guidance, employees **may cross that line without realizing it**

The Risk This Creates:

- ▶ The organization could **inadvertently facilitate bribery**
- ▶ It happens *under the guise* of "cultural expectations"
- ▶ The company did not *intend* to bribe but the action still constitutes bribery

Best Practice: Set clear monetary limits, require pre-approval, and train staff to distinguish *culture* from *corruption*.

The Three Stages Where Do Shell Companies Fit?

A Quick Refresher: The Money Laundering Stages

1. **Placement:** Get dirty cash into the system (deposits, currency exchange)
2. **Layering:** Move it around to hide where it came from (multiple transactions, shell companies)
3. **Integration:** Use it as "clean" money (investments, purchases)

What I Got Wrong:

- ▶ I thought shell companies are used in **placement**
- ▶ But placement is about **getting cash in**
- ▶ Shell companies are not needed for that cash is too visible

The Correct Answer:

- ▶ Shell companies are used in **layering**
- ▶ They create **complex chains** of transactions
- ▶ They **obscure beneficial ownership**
- ▶ They make money look like it is from *legitimate business*

Memory Trick: "*Placement = Put it in; Layering = Hide it; Integration = Use it.*" Shell companies = **HIDING** = Layering.

The Challenge

A building society wants to offer services through its mobile app.
But they are worried about **identity fraud**.

"How do we stay compliant without ruining the customer experience?"

Why This Is Tricky:

- ▶ **Compliance** wants *strong* identity verification
- ▶ **Customers** want *fast* and *easy* access
- ▶ These two goals often **pull in opposite directions**

The Best Solution:

- ▶ **Biometric verification** (fingerprint, facial recognition) strong and easy
- ▶ **Digital onboarding review** ensure the *process itself* is secure
- ▶ This gives you **both**: strong identity **and** a smooth experience

Key Takeaway: Don't choose between compliance and access use *technology* to achieve both.

Defensive SARs Why "Just in Case" Is a Problem

What Is a Defensive SAR?

It is a Suspicious Activity Report filed **not because there is genuine suspicion**, but because the filer wants to **avoid blame** later.

What I Got Wrong:

- ▶ I thought defensive SARs **simplify** compliance
- ▶ The truth is **they do the opposite**
- ▶ They create **more work**, not less

The Real Problem:

- ▶ Regulators receive **thousands** of SARs every day
- ▶ Defensive filings **flood** the system with *irrelevant* reports
- ▶ This creates **noise** making it harder to find **real** suspicious activity
- ▶ It **burdens regulators** with excessive and potentially irrelevant reports

Rule to Remember: File SARs only when you have *reasonable suspicion* not to "cover your back."

The Scenario

A law enforcement officer calls a financial crime investigator.
The officer wants details about a suspicious customer transaction.

The call is informal, with no written documentation.

Why This Situation Is Risky:

- ▶ Without written documentation, there is **no official record**
- ▶ The investigator could **misremember** details
- ▶ The call could be **impersonation** a fraudster pretending to be law enforcement

The Best Next Step:

- ▶ **Document the key points** of the conversation immediately
- ▶ **Request formal written confirmation** from the officer
- ▶ This creates an **audit trail**
- ▶ It protects both the investigator **and** the institution

Always Remember: If it is not documented, it did not happen. *Always* get it in writing.

Concentration Accounts When Oversight Is Missing

What Is a Concentration Account?

An internal account used to **aggregate** multiple transactions before they are posted to individual customer accounts.

The Regulatory Concern:

- ▶ If a concentration account lacks **sufficient oversight**, it becomes a **black box**
- ▶ Funds go *in* and come *out* but it is **hard to trace** where they went
- ▶ Criminals can use this **poor traceability** to move money undetected

Why This Matters:

- ▶ The institution might **inadvertently facilitate money laundering**
- ▶ Not because they *want* to, but because the account **lacks proper controls**
- ▶ This is why regulators **scrutinize** concentration accounts closely

Core Principle: If you cannot *trace* it, you cannot *control* it. Oversight is everything.

Prioritizing Reviews Not All Trades Are Equal

The Scenario

A compliance officer evaluates two trades:

- ▶ **Trade A:** High-volume equities with normal volatility
- ▶ **Trade B:** Low-volume penny stocks with rapid pricing shifts

Both passed basic monitoring. Which should be prioritized?

What I Got Wrong:

- ▶ I thought both should be treated **equally**
- ▶ I assumed volume and volatility are **neutral indicators**
- ▶ This is a **dangerous assumption**

The Correct Priority:

- ▶ **The penny stock trade** should be prioritized
- ▶ Why? Because penny stocks have **higher manipulation risk**
- ▶ They are easier to **manipulate** small trades can move the price
- ▶ Criminals use them to **create artificial activity**

Key Insight: Do not assume all activity is equal. *Lower volume + higher volatility = higher risk.*

Facial Recognition Why Biometrics Come With a Catch

The Comparison

- ▶ **Passwords:** Can be *changed* if compromised
- ▶ **Biometrics (facial recognition):** **Cannot** be changed easily

What I Got Wrong:

- ▶ I thought the problem was **storage capacity**
- ▶ Storage is **not** the main issue with biometrics

The Real Risk:

- ▶ If a password is stolen, you **reset it** simple
- ▶ If your **biometric data** (face, fingerprint) is compromised, you **cannot reset it**
- ▶ You have *one* face, *one* set of fingerprints
- ▶ Once stolen, that data is **permanently** exposed
- ▶ This is the **fundamental vulnerability** of biometric authentication

Critical Lesson: Passwords are replaceable. Biometrics are *not*. That is why they must be **protected even more carefully.**

AML Culture When Policies Are Not Enough

The Finding

An internal audit finds something concerning:

"Despite robust policies, employee engagement on compliance is low. Staff view compliance as a barrier to performance."

What I Got Wrong:

- ▶ I assumed the policies were **too complex**
- ▶ Complexity is **not** the root issue here

The Real Problem:

- ▶ The organization has **failed to embed compliance values** in its operational culture
- ▶ Having **policies on paper** is not enough
- ▶ Employees must **believe** in compliance not just follow rules
- ▶ When compliance is seen as a **barrier**, people will **find ways around it**

Core Lesson: Compliance is not a set of rules it is a *culture*. If you do not build the culture, the rules will not work.

Effective Board Oversight Includes:

1. **Receiving regular reports** on financial crime risks and control effectiveness
2. **Reviewing whether senior management** is addressing audit findings
3. **Challenging management** when AML performance metrics show signs of weakness

What I Got Wrong:

- ▶ I thought board members should **participate in SAR investigations**
- ▶ This is **operational work** boards should not do this
- ▶ Board members are **oversight**, not *operators*

The Correct Role of the Board:

- ▶ **Oversee** do not *do*
- ▶ Ask tough questions **challenge** management
- ▶ Ensure **accountability** is management acting on audit findings?
- ▶ Monitor **trends** are risks increasing or decreasing?

Board Principle: Directors oversee, they do not operate. Their job is to *challenge* and *question*.

Common Techniques Used by Terrorists:

1. **Informal value transfer systems** (Hawala, Hundi)
2. **Physical transportation of cash** across porous borders
3. **Fake charities** operating in high-risk regions

What I Missed:

- ▶ I selected only *two* when the question asked for *three*
- ▶ I missed **physical cash transportation**
- ▶ Terrorists often simply **carry cash** across borders
- ▶ This is old-school but **still effective**

Why These Three Are Correct:

- ▶ **Hawala:** Trust-based, no paper trail, hard to detect
- ▶ **Cash:** Simple, no system to flag, works in vulnerable regions
- ▶ **Charities:** Appear legitimate, move money under humanitarian cover

Remember: Terrorists use both *high-tech* and *no-tech* methods. Do not overlook the simple ones.

Characteristics That Enable Laundering:

1. Use of mobile payment and remittance systems
2. Weak cross-border enforcement cooperation

What I Got Wrong:

- ▶ I thought counterfeit documents were a key factor
- ▶ While documents *are* used in trafficking, they are not the **primary laundering enabler**
- ▶ I also missed **mobile payments** as a key technique

Why These Two Are Correct:

- ▶ **Mobile payments** are hard to trace, fast, and cross-border
- ▶ Traffickers use them to **move small amounts** frequently
- ▶ **Weak enforcement** means criminals can operate across borders without fear

Key Insight: Traffickers use *accessible* systems (mobile money) and exploit *jurisdictional gaps* (weak cooperation).

The Most Important Takeaways:

1. **Legal divergence** is the real challenge in global AML not technology
2. **Cultural practices** can blur the line between hospitality and bribery
3. Shell companies belong in **layering**, not placement
4. **Biometrics** are powerful but *cannot be reset* protect them
5. **Defensive SARs** flood the system and make detection harder
6. **Document everything** especially law enforcement requests
7. **Concentration accounts** need strong oversight to prevent misuse
8. Not all trades are equal **prioritize** based on risk, not volume
9. **Compliance culture** matters more than compliance policies
10. Boards **oversee** they do not *operate*

Remember: Every wrong answer is a learning opportunity.
Understand why and you will not make the same mistake again.

Thank You

Keep learning. Keep growing.

Compliance is not about perfection it is about continuous improvement.